



SHAREHOLDERS

In return for their investment, all the shareholders receive an annual payment or “dividend,” which varies with company profits. They also have a say in how the company is run. While directors run the company on a day-to-day basis, shareholders can use their influence to keep the company on a steady course. Public ownership is declining, as private companies, unhindered by shareholders, suit today’s rapidly changing markets.



GOING BUST

When a company can’t pay its debts, a court may declare it bankrupt. This isn’t a punishment but a legal status in which the court is empowered to decide how to sort out the financial mess, and see what money can be retrieved to pay creditors. If bankrupt companies are punished harshly, investors may be put off from investing in future. But if debtors are let off too easily, creditors may be deterred from doing business.

Between 1997 and 2012, the number of public companies traded on the US stock exchange almost halved.



RAISING CAPITAL

Businesses go “public” in order to dramatically widen the sources of capital that can help it grow. Shareholders put money in either by buying stocks (shares in a company’s assets or “equity”) or by buying bonds (direct loans of money to the company). Both stocks and bonds can be bought and sold on, entirely independently, on stock and bond markets. So, the company itself becomes a commodity that can be traded.